OPERATING AGREEMENT

STONE BICYCLE COALITION L.L.C.

A South Dakota Limited Liability Company

Effective Date: August 25, 2025

ARTICLE I — FORMATION

1.1 Name. The Company is Stone Bicycle Coalition L.L.C. ("Company"), organized under the South Dakota Revised Uniform Limited Liability Company Act.

1.2 Formation Date. The Company was formed on August 25, 2025, upon filing Articles of Organization with the South Dakota Secretary of State (Filing No. DL307376).

1.3 EIN. 39-4226443.

1.4 Principal Office. 925 9th Street #3, Rapid City, SD 57701.

1.5 Registered Agent. Rory J. Stone, at the principal office address.

1.6 Purpose. To promote cycling advocacy, community bicycle education, cooperative bicycle services, and related activities in the Black Hills region, and any lawful business under South Dakota law.

1.7 Duration. Indefinite unless dissolved per this Agreement or applicable law.

ARTICLE II — MEMBERS

2.1 Members.

MEMBER	OWNERSHIP INTEREST
Rory J. Stone	50%
Nicole A. Stone	50%

2.2 Additional Members. May be admitted only by unanimous written consent of all existing Members.

ARTICLE III — CAPITAL CONTRIBUTIONS

3.1 Initial Contributions.

MEMBER	DATE	AMOUNT	FORM
Rory J. Stone	Nov 3, 2025	$300.00	Cash
Rory J. Stone	Dec 18, 2025	$150.00	Cash
Greg Stone	Oct 14, 2025	$9.16	Cash

3.2 No Member is required to make additional contributions. Additional contributions may be made by mutual agreement.

3.3 No interest shall be paid on capital contributions.

ARTICLE IV — MANAGEMENT

4.1 Manager-Managed. Rory J. Stone is designated as the initial Manager.

4.2 Authority. The Manager has authority to conduct ordinary business, including bank accounts, contracts, and day-to-day operations.

4.3 Major Decisions. Unanimous Member consent required for:

(a) Admitting new Members; (b) Selling all or substantially all assets; (c) Dissolving the Company; (d) Debt exceeding $5,000; (e) Amending this Agreement.

4.4 Compensation. No management compensation unless agreed by all Members.

ARTICLE V — ALLOCATIONS & DISTRIBUTIONS

5.1 Profits and Losses. Allocated to Members in proportion to Ownership Interests (50/50).

5.2 Distributions. At Manager's discretion, proportional to Ownership Interests. No distribution shall render the Company unable to pay its debts.

5.3 Tax Allocations. The Company is treated as a partnership for federal income tax purposes. Tax items allocated per Ownership Interests and IRC §704(b).

ARTICLE VI — TAX MATTERS

6.1 Partnership classification for federal income tax purposes.

6.2 Manager shall file Form 1065 and furnish each Member a Schedule K-1 annually.

6.3 Rory J. Stone is designated as Partnership Representative under IRC §6223.

6.4 Fiscal year: calendar year (January 1 – December 31).

ARTICLE VII — TRANSFER OF INTERESTS

7.1 No Member may transfer their interest without prior written consent of all other Members.

7.2 Remaining Members have a right of first refusal at fair market value.

ARTICLE VIII — DISSOLUTION

8.1 Dissolves upon: (a) unanimous written consent; (b) judicial decree; or (c) any event making continuation unlawful.

8.2 Manager winds up affairs, pays debts, distributes remaining assets proportionally.

ARTICLE IX — GENERAL PROVISIONS

9.1 Governed by the laws of South Dakota. **9.2** Amendments require unanimous written consent. **9.3** This Agreement is the entire agreement and supersedes all prior agreements. **9.4** If any provision is held invalid, remaining provisions continue in full force.

SIGNATURES

By signing below, the Members agree to all terms of this Operating Agreement.

Rory J. Stone — Member (50%)

Signature

Date

Nicole A. Stone — Member (50%)

Signature

Date